cards, car loan, and any other lines of credit, and add these amounts together. If your total monthly payments exceed 20% of your monthly take-home pay, don't panic. Chapter 3 has tips on reducing debt, and as you adjust your spending, you'll free up more money to pay off debt faster.

But it makes sense to analyze this often-quoted rule a bit. It's possible that monthly payments are artificially low—say you pay the absolute minimums on your credit cards—so the 20% rule could mask a dangerous amount of debt. For example, if you earned $40,000 a year (taking home around $2,985 a month) and you owe $20,000 in credit card debt, your monthly payment could easily be about $450, which is just 15% of your take-home pay. So while on paper you meet this rule of thumb, the reality is that you're drowning in debt. So in addition to the above rule, try this one as well: If the unpaid *balance* on your so-called consumer debt (that's your credit cards, car loans, and other lines of credit that aren't student loans or home loans) exceeds 20% of your *annual* take-home pay, you are probably carrying too big a debt load. (Of course, the percentage to shoot for in both cases is zero.)

- **The Housing Target: Spend no more than 30% of your monthly take-home pay on rent or mortgage payments.** This policy may be impossible in major cities like New York City, San Francisco, or Miami, unless you share a place with roommates. But if you're in a small town or a city like St. Louis or Albuquerque, it's reasonable. No matter where you are, it's something to shoot for.
- **The Savings Target: Save at least 10% of your take-home pay each month.** It's critical to think of your savings as a fixed monthly expense that's part of your budget, just like your car payments and your rent. While there's no magical reason to save exactly 10%, it's a good target to shoot for. Include in that 10% the money you set aside to meet your short-term goals as well as the funds you put in a company retirement plan. If you can save more, you should boost your